

MORNING BRIEFING — FRIDAY 3 JULY 2026

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US equity and bond markets are CLOSED today for the July 4th Independence Day holiday (July 4 falls on a Saturday; observed Friday July 3). No US cash session, no US futures reference, no BLS/Treasury data flow today. European exchanges trade a normal but likely thin session.

2. IMPORTANT NEWS

US June payrolls miss badly: +57,000 vs +110,000 expected, May revised down to +129,000

[BLS / FXStreet](#) • released Thursday, collected ~06:00 BST

Unemployment rate ticked down to 4.2% as participation fell. Weakest print in four months. Fed funds futures now price roughly 50% odds of a September cut, down from around 64% a day earlier. US 10Y yield fell about 2bp to 4.46%. Gold rebounded above \$4,100/oz. Reduces near-term rate-hike risk but reinforces a growth-scare narrative into a holiday-thinned session.

Meta unveils plan to resell surplus AI compute, triggers global chip-stock selloff

[CNBC / TradingKey / Moomoo](#) • Thursday session

Meta shares jumped 8-9% on the cloud-business pivot, but the news raised fears hyperscalers will redirect capex away from external chip purchases. Micron fell over 10%, the Philadelphia Semiconductor Index dropped 5.4% (-12% over two weeks), and Nasdaq-100 lost 1.6%. The selloff carried into Tokyo overnight: Kioxia -13%, Mitsui Mining & Smelting -10.9%, Taiyo Yuden -10.4%. Read-through for ASML, ASM International, BE Semiconductor and other European chip-supply names today.

Dow closes at a record high into the long weekend; Nasdaq lags on chip weakness

[TheStreet / Yahoo Finance](#) • Thursday close

Dow Jones +1.14% to 52,900.07, a fresh all-time high. S&P 500 roughly flat near 7,483. Nasdaq Composite -0.80% to 25,832.67 as semiconductors dragged. Rivian jumped 8-13% after raising FY26 delivery guidance to 65,000-70,000 units. US markets are closed today; next session is Monday July 6.

Oil extends third straight losing session as UAE restores exports and US-Iran talks advance

[Market wires \(Reuters-sourced\)](#) • Thursday session

Brent fell about 1.4% toward \$70.60/bbl, WTI down a similar magnitude near \$67.60-68.10/bbl. The UAE has restored exports above 3.9m barrels/day, pushing total Hormuz-linked flows past 10m bpd. US envoys Jared Kushner and Steve Witkoff held what were described as constructive technical talks with Iranian counterparts in Qatar. A disinflationary tailwind for the eurozone if it holds, and a headwind for European oil majors and tanker/shipping names that have rallied on the risk premium.

Eurozone June CPI cools to 2.8%, below consensus, extends European equity rally

[Eurostat-linked coverage](#) • Thursday

Headline inflation eased to 2.8% YoY from 3.2% in May, below the 3% consensus. The move underpinned a four-session rally in European equities into Thursday's close (STOXX Europe 600 +1.96% over the period). Reinforces the case for the ECB to stay on hold rather than turn hawkish, supportive for eurozone duration and periphery spreads.

3. EUROPEAN FUTURES (PRE-OPEN)

CONTRACT	LEVEL	INDICATIVE MOVE	COLLECTION TIME
Euro Stoxx 50 (FESX)	~6,326	Flat to slightly lower vs Thursday close	06:45 BST (Eurex)
DAX (FDAX)	n/a	No reliable pre-open print sourced	—
CAC 40 (FCE)	n/a	No reliable pre-open print sourced	—
FTSE 100 (Z)	n/a	No reliable pre-open print sourced	—
US context — markets closed today			
S&P 500 / Nasdaq futures	n/a	No active US reference session (July 4 holiday, observed Fri)	—

Euro Stoxx 50 futures point to a broadly flat open, consolidating this week's rally after Thursday's cooler eurozone CPI print. With US cash and futures markets shut for Independence Day, there is no overnight US reference and European volumes should be thin, with early desk closes likely into the weekend. Direction today is more likely to be driven by the overnight Asian tech rebound and the oil pullback than by any US catalyst.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (THURSDAY 2 JULY 2026)

INDEX	CLOSE	CHANGE (DAY)
Euro Stoxx 50	n/a	−0.7%
DAX 40	~25,040	+0.2%
CAC 40	n/a	n/a (day) — see note
FTSE 100	n/a	n/a (day) — see note

Single-day closing levels for CAC 40 and FTSE 100 could not be reliably sourced. What is confirmed: the STOXX Europe 600 gained 1.96% over the four sessions into Thursday's close, with DAX +3.69%, CAC 40 +1.07%, FTSE MIB +2.27% and FTSE 100 +1.38% over that same four-day window, driven by cooling eurozone inflation and rate-cut hopes. Thursday itself was more mixed globally as the Meta-triggered chip selloff spread from Wall Street, which likely explains the Euro Stoxx 50's single-day dip of 0.7% despite the constructive weekly trend.

5. US MARKETS — YESTERDAY'S SESSION (THURSDAY 2 JULY 2026)

INDEX	CLOSE	CHANGE	NOTE
Dow Jones Industrial Average	52,900.07	+1.14%	RECORD CLOSE
S&P 500	~7,483	~flat	—
Nasdaq Composite	25,832.67	−0.80%	Nasdaq-100 −1.6% intraday on chips

Mixed session into the long weekend. Leaders: Meta (+8-9%) on its new AI-compute resale/cloud business, Rivian (+8-13%) after raising FY26 delivery guidance to 65,000-70,000 units on a strong Q2 beat, and Dow blue chips broadly. Laggards: semiconductors and memory names, with the Philadelphia Semiconductor Index down 5.4% (-12% over two weeks) and Micron off more than 10% on fears that hyperscalers will redirect AI capex toward internal/resold compute rather than external chip purchases.

Key takeaway: the weak June payrolls print (+57,000 vs +110,000 expected) cooled Fed hike odds and pulled the 10Y yield down about 2bp to 4.46%, a tailwind for equities broadly, but the growth-scare undertone combined with Meta's compute-reselling news drove a sharp rotation out of the year's best-performing chip trade. US markets are closed today for Independence Day; the next session is Monday, July 6.

6. ASIAN MARKETS — OVERNIGHT SESSION (FRIDAY 3 JULY 2026)

INDEX	LEVEL	CHANGE
Nikkei 225	n/a	+1.36%
Topix	n/a	+1.17%
Hang Seng	n/a	+1.57%
Shanghai Composite / CSI 300	n/a	CSI 300 +1.15%
Kospi (South Korea)	n/a	n/a

Asia-Pacific equities reversed early losses to close broadly higher. Thursday's Wall Street chip selloff had spilled into Tokyo at the open, with Kioxia down 13%, Mitsui Mining & Smelting down 10.9% and Taiyo Yuden down 10.4%, pulling the Nikkei down as much as 1.6% intraday. The index clawed all of that back and more, helped by a stronger-than-expected final Japan Services PMI for June (52.2, up from a neutral 50.0 in May), a firmer yen and falling oil prices, which triggered a rotation out of tech and into cyclical and consumer-facing names. Hong Kong and mainland China followed the region higher.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	TIME
Brent (ICE, USD/bbl)	~70.60	−1.36%	Thursday close
WTI (NYMEX, USD/bbl)	~67.60-68.10	−1.44%	Thursday close
Gold (XAU/USD, USD/oz)	~4,100+	Rebound from 8-month low	Thursday
Copper (COMEX, USD/lb)	~6.19	Easing from recent highs	Tuesday, 30 June print
Natural gas (TTF, EUR/MWh)	~43	Retreating from 2-week high	Wednesday, 1 July print
Natural gas (Henry Hub, USD/MMBtu)	n/a	—	—

Oil's third straight losing session, on restored UAE exports and constructive US-Iran talks in Qatar, is a disinflationary tailwind for Europe if it holds, but negative for European oil majors and tanker/shipping names that have run hard on the geopolitical risk premium. Gold's rebound above \$4,100 reflects reduced Fed tightening risk after the weak June payrolls print, though it remains well below its January all-time high near \$5,602. Copper is awaiting a US Commerce Department report that could pave the way for import tariffs on refined copper, a headline risk for miners today.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	TIME
US 10-Year Treasury	4.46%	-2bp	Thursday close (market shut today)
German 10-Year Bund	~2.96%	+4bp	Thursday
EUR/USD	~1.1425-1.1452	+0.42%	Thursday
GBP/USD	~1.3281-1.3376	+0.04%	Thursday
DXY (Dollar Index)	~101.3-101.4	Little changed	Thursday

The Bund climbed above 2.9% and away from a four-month low even as the US 10Y eased about 2bp post-payrolls, narrowing the US-Bund spread modestly. The euro firmed on the softer June CPI print, which supports the case for the ECB to stay on hold. The dollar index remains close to its 2026 highs (it broke above 100 in June on sticky inflation and a hawkish Fed stance) but looks vulnerable if the September rate-cut odds implied by Thursday's jobs report keep building. UK data is thin today; GBP trades broadly in line with the softer-dollar tone.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (THURSDAY 2 JULY 2026)

No specific EUR or USD corporate IG, HY, SSA or financials print for Thursday 2 July could be reliably sourced via open web search. Confirmation requires Bloomberg Terminal, Refinitiv Eikon or IFR/GlobalCapital subscription access.

PIPELINE / EXPECTED TODAY

No mandates or expected EUR benchmark deals for today were identified in open sources. With US markets shut for July 4th, cross-border USD-linked issuance is effectively dead through the long weekend, and European issuers typically avoid launching new benchmarks on the Friday ahead of a US holiday given light order-book depth. Expect the primary window to reopen in earnest from Tuesday, once US accounts are back at their desks.

KEY CREDIT SPREADS

INDEX	LEVEL (BP)	MOVE / DIRECTION
iTraxx Europe Main 5Y	n/a	—
iTraxx Europe Crossover 5Y	n/a	—
CDX IG 5Y (USD)	n/a	—
Average euro corporate IG spread	n/a	—

Exact iTraxx/CDX levels require Bloomberg Terminal or ICE data access; not available via open web sources this morning. Market commentary broadly describes 2026 credit spreads as trading near record tights.

COMMENTARY

The primary window is effectively shut today on the US holiday and thin pre-weekend European liquidity. The broader 2026 backdrop remains constructive on paper: gross IG supply hit \$721bn in Q1, up 12% year-on-year, driven by refinancing needs, AI-related capex and debt-funded M&A, while European HY issuance reached €19bn year-to-date as of February, up 51% year-on-year. That said, roughly three-quarters of market participants surveyed by GlobalCapital expect spreads to widen through 2026 as compensation for rate cuts and a less settled macro backdrop, so funding conditions are being watched closely even as the window stays technically open. Any issuers in industrials, transport or energy with live mandates are likely to hold off until Tuesday's reopening.

10. ECONOMIC CALENDAR (FRIDAY 3 JULY 2026)

TIME (BST)	ZONE	INDICATOR	CONSENSUS	IMPORTANCE
US calendar: no releases — markets and federal data flow closed for July 4th				
n/a	Eurozone / UK	No confirmed scheduled releases found for today	n/a	LIGHT DAY

A genuinely quiet data day. This week's key eurozone prints are already in the market: June Services PMI at 48.9 (up from 47.7, above the 48.5 consensus) and Manufacturing PMI at 51.3 (down slightly from 51.6). With the US on holiday and no confirmed eurozone or UK releases identified for today, expect price action to be driven by positioning into the long weekend and the overnight Asia tech rebound rather than fresh data.

11. CORPORATE EVENTS & EARNINGS

No major European or US earnings releases or corporate calendar events could be reliably confirmed for today via open web search. Corporate newsflow overnight was dominated by market-moving disclosures (Meta's cloud pivot, Rivian's delivery guidance raise) rather than scheduled earnings, both covered in Section 2. US corporate calendars are effectively suspended for the holiday. Expect a light agenda ahead of the July 4th weekend, with the next meaningful European corporate cluster likely from Tuesday.

12. STOCKS TO WATCH

ASML / ASMI / BESI — Amsterdam	Direct read-through from the overnight chip selloff (Micron -10.6%, Philly Semi -5.4%, Kioxia -13% in Tokyo) triggered by Meta's plan to resell surplus AI compute. Watch for early weakness at the European open before the Asia rebound narrative filters through.	Bearish pressure, watch for rebound
TotalEnergies (TTE.PA) / Shell (SHEL.L) — CAC / FTSE	Brent down to ~\$70.60, third straight losing session, on restored UAE exports and constructive US-Iran talks. Lower oil is a headwind for FCF-sensitive integrated majors.	Bearish (oil pullback)
d'Amico International Shipping / tanker names — Milan	Tanker and shipping names that rallied on the Hormuz/Iran risk premium face profit-taking risk as UAE export restoration and diplomatic progress compress freight-rate upside.	Bearish / profit-taking risk
Lloyds Banking Group (LLOY.L) — FTSE	In focus on dividend and EPS-upgrade momentum for UK domestic banks tied to a steeper long-end gilt curve; sector remains one of the few in Europe still seeing broad EPS upgrades in 2026.	Constructive
Deutsche Bank (DBK.DE) / BNP Paribas (BNP.PA) — DAX / CAC	European banks are coming off their best sector performance since 1997; Deutsche recently posted its strongest Q2 pre-tax profit in nearly two decades. A firmer Bund yield (+4bp Thursday) is a modest NII tailwind.	Constructive
Airbus (AIR.PA) / GE Aerospace (GE) — CAC / NYSE	Aerospace order momentum remains a live theme (Airbus's 60-jet Air China order, 340-satellite Eutelsat OneWeb deal; GE Aerospace Q1 revenue +29% with new defense contracts). US listing closed today, but European suppliers trade on the read-through.	Bullish, order momentum
Rheinmetall / Saab / Renk — European defense complex	Sector is in a consolidation phase after 2025's rearmament-driven rally; the Stoxx Europe Aerospace & Defence index is down 1.2% year-to-date against a 4.8% gain for the broader Stoxx 600, with scrutiny shifting to individual fundamentals.	Neutral / stock-specific
Mining / copper complex (Antofagasta, Glencore, BHP) — London	COMEX copper eased from recent highs (~\$6.19/lb) as markets await a US Commerce Department report that could pave the way for import tariffs on refined copper, a headline risk that could move miners sharply in either direction.	Headline risk, both directions

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

US labour market cools sharply: June nonfarm payrolls rose just 57,000 versus 110,000 expected, with May revised down to 129,000. Unemployment ticked down to 4.2% on falling participation. September rate-cut odds implied by futures markets jumped to around 50% from roughly 64% the prior day.

Eurozone inflation surprises lower: June CPI eased to 2.8% YoY from 3.2% in May, below the 3% consensus, reinforcing the case for the ECB to hold rather than turn hawkish.

Japan services momentum improves: final June Services PMI rose to 52.2 from a neutral 50.0 in May, helping the Nikkei claw back Thursday's chip-driven losses overnight.

US markets closed for Independence Day: no cash equities, bond market or federal data releases today; normal US trading resumes Monday, July 6.

CORPORATE

Meta pivots into AI cloud reselling: plans to lease or sell surplus AI computing capacity externally, sending shares up 8-9% but triggering a broad chip-sector selloff on fears of reduced external hyperscaler chip demand.

Rivian raises delivery guidance: FY26 outlook lifted to 65,000-70,000 vehicles after a Q2 beat (12,194 deliveries), shares up 8-13% on the day.

Memory and chip-equipment names hit hard: Micron down more than 10%, Kioxia down 13% in Tokyo overnight, alongside declines at SanDisk, Seagate and Western Digital as the "AI memory supercycle" trade takes a breather after outsized year-to-date gains.

European banks extend 2025's rally into 2026: Deutsche Bank posted its strongest Q2 pre-tax profit in nearly two decades; UK domestic banks, led by Lloyds, are seeing the largest EPS upgrades in the region on a steeper gilt curve.

POLITICAL / GEOPOLITICAL

US-Iran diplomatic progress: Kushner and Witkoff held constructive technical talks in Qatar; combined with the UAE's restoration of oil exports above 3.9m bpd, this has driven three consecutive sessions of oil price declines.

US holiday effectively pauses cross-border flow: with US markets, Treasury data and much of Wall Street dealing desks offline today, expect materially thinner liquidity in USD-linked instruments and DCM through the long weekend.

Fed policy path back in focus: the weak payrolls print revives rate-cut expectations for September, a reversal from the hawkish repricing seen through most of June on sticky inflation.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. US market closed for July 4th

No US cash, futures, bond or data reference today. Expect thin European volumes and limited directional conviction until Monday.

2. Chip-sector rebound in Asia after Meta-driven selloff

Nikkei and Hang Seng clawed back Thursday's Meta-triggered chip losses overnight; watch whether European semi-supply names (ASML, ASMI, BESI) follow the rebound or the initial selloff.

3. Oil's third straight down session

UAE export restoration and constructive US-Iran talks pressure Brent toward \$70. Disinflationary for Europe, negative for energy and shipping names that rallied on the risk premium.

4. Weak US payrolls repricing Fed expectations

September rate-cut odds near 50%, up from 64% two days ago. Gold rebounding, 10Y yield lower, dollar vulnerable to further repricing.

5. Cooler eurozone CPI supports ECB-on-hold narrative

June CPI at 2.8%, below consensus, extends the four-session European equity rally into the new week's setup.

THIS WEEK'S TOP 5

1. US markets reopen Monday

First full session back after the holiday will likely see catch-up flows and a reassessment of the chip-sector selloff against Thursday's payrolls-driven rate repricing.

2. DCM primary window reopens

EUR and USD corporate issuance has been paused into the long weekend; expect a pickup in mandates and pricing from Tuesday.

3. Iran diplomacy follow-through

Any confirmed outcome from the Kushner-Witkoff talks in Qatar would be a significant catalyst for oil, tanker names and European energy majors.

4. Chip-sector stabilisation or further unwind

Whether the Meta-triggered selloff in Micron, Kioxia and peers proves a one-off rotation or the start of a deeper correction in the AI-hardware trade.

5. Fed rate-cut repricing continues

Markets will watch for further Fed commentary on the weak payrolls print once US desks are back Monday, with September odds now near a coin flip.

THIS MONTH'S TOP 5

1. Fed policy path into September

The weak June jobs report reopens the door to a September cut after a hawkish June. FOMC commentary and July data will be pivotal.

2. AI capex and chip-demand durability

Meta's move to resell surplus compute raises a structural question about hyperscaler chip demand after a year of outsized semiconductor gains.

3. Oil price trajectory and Iran diplomacy

A confirmed de-escalation would extend the current pullback toward pre-conflict levels, reshaping the energy and shipping sector outlook for H2.

4. European bank earnings momentum

Banks remain one of the few European sectors still seeing EPS upgrades; Q2 reporting season from mid-July will test whether the best-since-1997 rally has further room to run.

5. Copper tariff decision

The pending US Commerce Department report on refined copper imports is a binary catalyst for global miners and industrial metals pricing.

15. KEY TRENDS TO WATCH

1 DAY

Thin, US-less session: no American reference points today. Direction likely set by the Asian chip-sector rebound and the ongoing oil pullback.

European chip suppliers: watch ASML, ASMI and BESI for whether they track Thursday's Wall Street selloff or overnight Asia's recovery.

Oil-sensitive names: further Brent weakness below \$70 would pressure energy and shipping stocks further.

1 WEEK

US reopening Monday: first full session to digest Thursday's payrolls miss and the chip-sector rotation together.

DCM reopening: primary EUR and USD issuance expected to resume from Tuesday after the holiday pause.

Iran talks follow-through: any concrete outcome from the Qatar discussions would be a major catalyst for energy markets.

1 MONTH

Fed September meeting positioning: markets will continue to reprice hike/cut odds as fresh data arrives through July.

AI capex durability: Meta's compute-reselling move puts a spotlight on whether hyperscaler chip demand growth is peaking.

European bank Q2 earnings season: from mid-July, a key test of whether the sector's historic 2025-26 rally has further legs.

PRIMARY SOURCES USED

- BLS.gov — June 2026 Employment Situation Summary
- FXStreet — US nonfarm payrolls June 2026
- TheStreet — US market close coverage, July 2 2026
- CNBC — Asia-Pacific markets live updates, July 3 2026; Meta cloud business coverage
- TradingKey / Moomoo — pre-market and Tokyo chip-selloff coverage
- investingLive — Asia-Pacific FX news wrap, July 3 2026
- The Motley Fool / Yahoo Finance — Rivian delivery guidance coverage
- Trading Economics — US 10Y, German Bund, EUR/USD, GBP/USD, DXY, copper, gold, oil
- Eurex — Euro Stoxx 50 futures levels
- Eurostat-linked coverage — eurozone June CPI, Services/Manufacturing PMI
- GlobalCapital — 2026 euro corporate bond market outlook and survey data
- CNBC / Kalkine Media — European bank and mining sector coverage
- PwC / CNBC — aerospace and defense sector coverage

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